

Uninsured and Underinsured Motorist Claims Handling Guide

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Document ID: MMIC-UMUIM-2025

Audience: Claims adjusters

Effective: June 1, 2025

This guide expands on Policy Wording Part B (Uninsured/Underinsured Motorist Coverage) with claims-handling procedure not repeated in the Policy Wording itself.

1. Coverage Overview

Part B pays the policyholder (or a covered passenger) for bodily injury caused by an at-fault driver who has no liability insurance (uninsured) or insufficient liability limits to fully cover the loss (underinsured). Part B does not cover the policyholder's own vehicle damage — that is addressed separately under Part D or, where applicable, an Uninsured Motorist Property Damage endorsement (Policy Form Version Comparison notes this endorsement is not standard on every policy).

2. Establishing Uninsured Status

Before a Part B claim is adjudicated as "uninsured," the adjuster confirms the at-fault driver's insurance status through a direct inquiry to the at-fault driver's stated insurer or a state database check — a policyholder's assertion that the other driver "had no insurance" is a starting point for investigation, not itself sufficient documentation for the claim file.

3. Establishing Underinsured Status

A claim proceeds as "underinsured" rather than "uninsured" once it is confirmed the at-fault driver does carry liability coverage, but the loss exceeds what that coverage will pay. The Part B payout in an underinsured scenario is calculated as the lesser of the policyholder's Part B limit or the excess of the loss over the at-fault driver's liability limits actually available — never simply the full Part B limit

regardless of what the at-fault driver's insurer pays, since Part B is excess coverage in this scenario, not primary.

4. Coordination Timing

A Part B underinsured claim is typically not finalized until the at-fault driver's liability insurer has tendered its own settlement or made a final payment position clear, since the Part B payout calculation in Section 3 depends on knowing the exact amount recovered from that other insurer. An adjuster may advance a partial Part B payment where the underinsured status is already clear and the delay in the other insurer's process is prejudicing the policyholder, subject to supervisor approval per the escalating settlement-authority structure.

5. Hit-and-Run Claims

A hit-and-run accident where the at-fault driver cannot be identified is treated as uninsured under Section 2, since an unidentified driver cannot be confirmed to carry insurance. Physical evidence of contact (vehicle damage consistent with the reported mechanism, a police report, or an independent witness) is required — a policyholder's report alone, with no corroborating evidence of the incident having occurred as described, is a basis for further SIU-consistent investigation before payment (Fraud Indicators Guide, Section 3).

6. Coordination with the Policyholder's Own Health Insurance and Medical Payments Coverage

Where a Part B claim includes medical expenses that are also compensable under the policyholder's own Medical Payments coverage (Part C, in the sections addressing medical expense) or the policyholder's health insurer, the Coverage Interpretation Notes' "reasonable and necessary" standard applies identically, and any anti-duplication provision in the Policy Wording controls to prevent the same medical bill being paid twice under two different coverage parts.

7. Statute of Limitations and Notice

A Part B claim is subject to the same prompt-notice expectation as any other claim under the Policy Wording's general conditions, and separately to the state's statute of limitations for uninsured motorist claims; a claim reported near the limitations boundary is escalated for legal counsel awareness (Litigation and Legal Referral Guide) even if the coverage determination itself is otherwise straightforward.

8. Arbitration Provision

Where the Policy Wording's Part B arbitration provision applies and the policyholder and Meridian Mutual cannot agree on either the at-fault driver's liability or the value of the claim, either party may invoke arbitration as described in the Policy Wording; this is a dispute-resolution mechanism distinct from, and does not replace, the underlying five-step adjudication sequence used to reach Meridian Mutual's own position before arbitration is invoked.